Purpose and Functions of Organisations

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🧭 **Learning Objective**

By the end of this topic, students should be able to:

•Understand **why organisations exist** and what their **functions** are.

•Explain how **IT system** supports organisational goals and operations.

•Identify **IT system requirements** for different types of organisations (manufacturing, services, education, retail, etc.).

What is an Organisation?

Definition

An **organisation** is a structured group of people working together to achieve specific goals — usually by providing **products** or **services**.

Purpose of Organisations

1. **To Produce Goods** – e.g., factories making physical products (cars, clothes, electronics).

2. **To Provide Services** – e.g., hospitals, schools, IT companies, airlines.

3. **To Make Profit** – most private organisations aim to generate money.

4. **To Serve the Public or Community** – e.g., charities, government agencies.

5. **To Create Employment** – organisations provide jobs and contribute to economic growth.

Examples :

Type	Example	Description
Service Organisation	Hospital	Provides healthcare services
Product Organisation	Apple	Manufactures iPhones and Macs
Public Sector	Police Department	Protects and serves citizens
Charity / NGO	UNICEF	Supports social development projects

Types of Organisations

1 Private Sector
- Owned by individuals or shareholders.
- Aim: *profit-making*.
- Examples: Amazon, Microsoft, Apple.

2 Public Sector
- Owned and funded by the government.
- Aim: *serve the public*.
- Examples: public hospitals, schools, ministries.

3 Non-profit Sector
- Run by charities or NGOs.
- Aim: *support causes and communities, not profit*.
- Examples: Dubai Cares , Red Crescent.

4 Educational and Research Sector
- Provide education and innovation.
- Examples: universities, research centers.

Organisational Functions

Each organisation has **departments or functions** that perform specific roles. These are often supported by **IT systems**.

Function	Description	IT Support Example
Manufacturing / Production	Producing goods or managing equipment.	Robotics, PLCs, Inventory control systems
Service Delivery	Providing services to customers.	Booking systems, CRM software
Supply Chain Management	Managing suppliers and logistics.	ERP, barcode/RFID tracking
Marketing and Sales	Promoting products and selling.	Digital marketing tools, E-commerce sites
Customer Relations (CRM)	Managing customer data and feedback.	CRM databases, chatbots
Human Resources (HR)	Hiring and managing employees.	HRM systems, payroll software
Finance & Accounting	Handling income, expenses, budgets.	Accounting software (QuickBooks, SAP)
IT & Support	Managing hardware, software, and data.	Helpdesk systems, monitoring tools

How IT Supports Organisations Functions

1 Communication and Collaboration
•Email, video meetings, quick messaging.
•Tools: Microsoft Teams, Zoom, Slack.

2 Data Management
•Storing and analysing company data.
•Tools: Databases (SQL), cloud storage (Google Drive, OneDrive).

3 Automation and Efficiency
•Machines or software automate repetitive tasks.
•Example: Barcode scanning in warehouses.

4 Decision Making
•Managers use data analytics dashboards and reports.
•Tools: Power BI, Tableau.

5 Customer Engagement
•Websites, chatbots, and social media platforms allow 24/7 communication.

IT System Requirements

Each organisation's function determines **what IT System** it needs.
Infrastructure / System= **Hardware + Software + People + Data + Processes + Connectivity**

Organisation Type	Infrastructure Requirements
Manufacturing Company	Industrial robots, sensors, PLCs, ERP software, high-speed LAN
Retail Business	POS systems, barcode scanners, inventory databases, cloud accounting
Educational Institute	Computers, e-learning platforms (LMS), projectors, student portals
Hospital	Patient databases, monitoring devices, data servers, secure network
Logistics Company	GPS trackers, RFID, mobile devices, cloud route management

Factors That Drive System Choices

1 Business Size

Small businesses may use shared or cloud systems.
Large companies need data centers and high security.

2 Budget

Available funds affect choice between cloud vs local solutions.

3 Security Needs

Hospitals or banks need higher encryption and firewalls.

4 Growth ability

Growing organisations prefer flexible systems that can expand (cloud or virtual servers).

5 Rules and Legal Requirements

Healthcare (HIPAA), Education (GDPR), Finance (PCI-DSS) — all require IT to follow strict standards.

Stakeholders & IT Needs

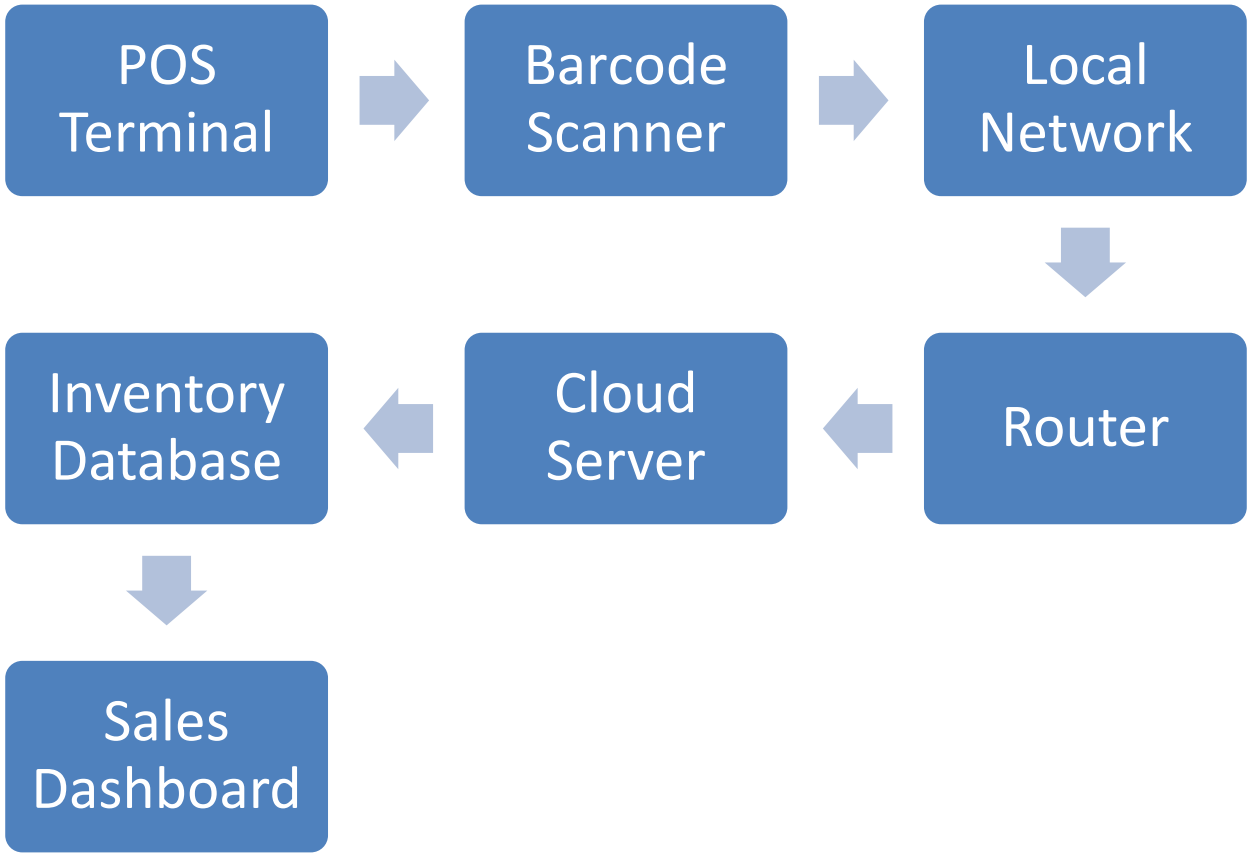
Stakeholders are people or groups affected by the organisation's actions.

Stakeholder	IT Needs
Employees	Access to systems, reliable connectivity
Customers	Fast service, secure data
Suppliers	Integration with inventory systems
Managers	Reports, analytics, dashboards
Shareholders	Financial data, performance metrics
Government / Regulators	Data rules and reporting

Example:
In a hospital system:
•Doctors need fast access to patient records.
•Patients need online booking and test results.
•Admin staff need billing and insurance tools.

IT System Diagram Example

Example: Retail Store IT System



Explanation:

- POS terminal sends data to cloud inventory.
- Router ensures internet connectivity.
- Manager checks live sales reports from dashboard.

Case Studies

Case Study 1: Amazon
•Type: Private / Service & Product
•Infrastructure: Cloud-based servers (AWS), AI recommendation systems, robots in warehouses.
•IT Role: Automates inventory, optimises logistics, supports millions of transactions per day.

Case Study 2: Emirates Airlines
•Type: Service organisation
•Infrastructure: Reservation systems, CRM, online portals, aircraft maintenance tracking.
•IT Role: Real-time booking and flight tracking, improves customer experience.

Case Study 3: GEMS Education
•Type: Educational organisation
•Infrastructure: LMS (Google Classroom), digital attendance, cloud storage.
•IT Role: Enables blended learning, supports students and teachers remotely.

Review & Key Takeaways

✅ Organisations exist to provide **products and/or services**.

✅ They use **IT systems** to improve efficiency, communication, and productivity.

✅ Each **department (HR, finance, sales)** has different IT needs.

✅ **System decisions** depend on size, budget, and goals.

✅ IT supports **stakeholders**: employees, customers, managers, and suppliers.

Activity

- Students choose one organisation (e.g., school, hospital, or restaurant) and identify:

- **Type of organisation**
- **Its main purpose**
- **Key departments**
- **IT systems used in each department**

- **Short Answer**

1. Explain the difference between a product-based and a service-based organisation.
2. Identify 3 organisational functions supported by IT systems.
3. Describe how IT infrastructure supports customer relationship management (CRM).

Quiz -

1 **Which of the following is a service organisation?**
A) Apple B) Hospital C) Toyota D) Dell

2 **What is the main purpose of IT infrastructure in an organisation?**
A) Decoration B) Improve productivity C) Speed up operations D) None

3 **Which department would most likely use CRM software?**
A) HR B) Sales C) Finance D) Manufacturing

4 **What is an example of a stakeholder?**
A) Keyboard B) Server C) Employee D) Router